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SITUATIONAL ORDER FLOW

"Why be a sheep in the markets when you can be a wolf and track order flow?"

Module 4 – When Order Flow Is Sending Mixed Messages.

Situational Order Flow

Disclaimer

This course is for educational and informational purposes only and should not be considered a solicitation to buy or sell a futures contract or make any other type of investment decision. Futures trading contains substantial risk and is not for every investor. An investor could potentially lose all or more than the initial investment. Risk capital is money that can be lost without jeopardizing one's financial security or lifestyle. Only risk capital should be used for trading and only those with sufficient risk capital should consider trading. Past performance is not necessarily indicative of future results.

CFTC Rules 4.41 - Hypothetical or Simulated performance results have certain limitations, unlike an actual performance record, simulated results do not represent actual trading. Also, since the trades have not been executed, the results may have under-or-over compensated for the impact, if any, of certain market factors, such as lack of liquidity. Simulated trading programs in general are also subject to the fact that they are designed with the benefit of hindsight. No representation is being made that any account will or is likely to achieve profit or losses similar to those shown.

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One of the main reasons Futures Markets were created was for hedging purposes. Farmers were able to lock in their prices now for delivery in the future. Market speculation is a by product of the market facilitating trade. It is actually the speculation that provides liquidity in the market.

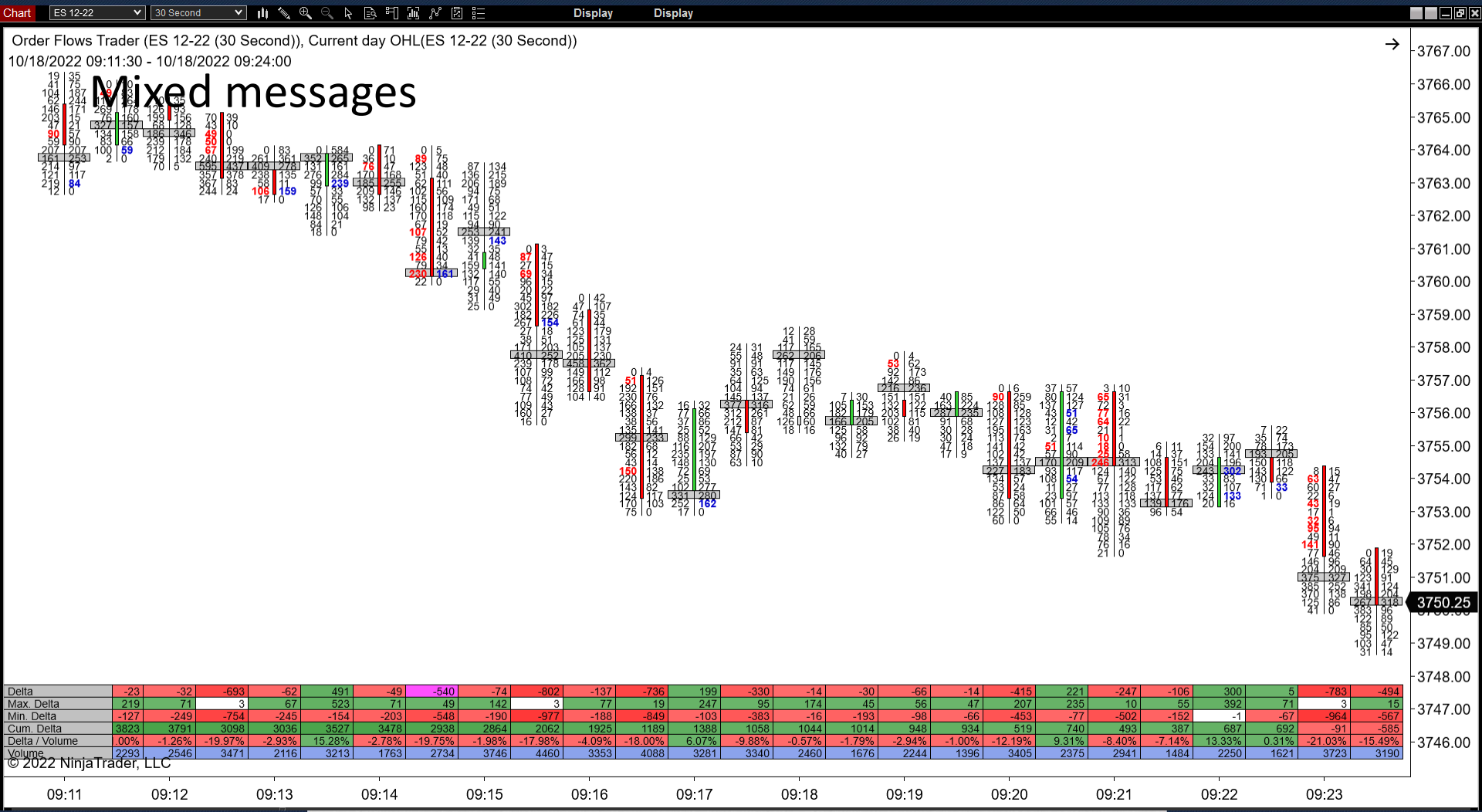
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The market is a complex and ever-changing beast. Sometimes it's hard to tell which way the market is going to go next. Is it going to continue its upward trend? Or is it going to take a turn for the worse?

When the market is giving mixed signals, it can be difficult to make trading decisions. Should you buy? Sell? Hold? It can be tough to know what to do.

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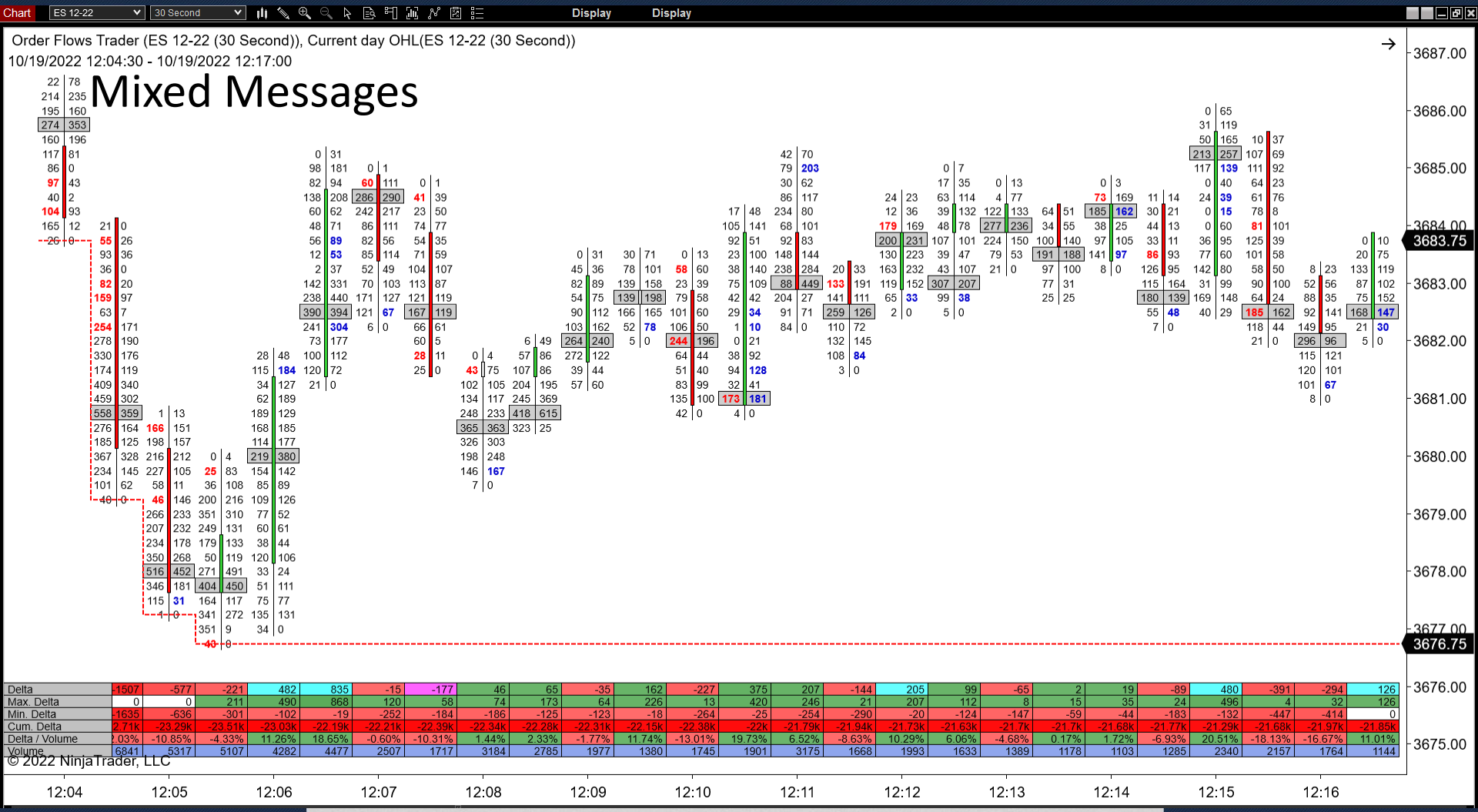


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You want to be able to identify when a market is showing you mixed signals.

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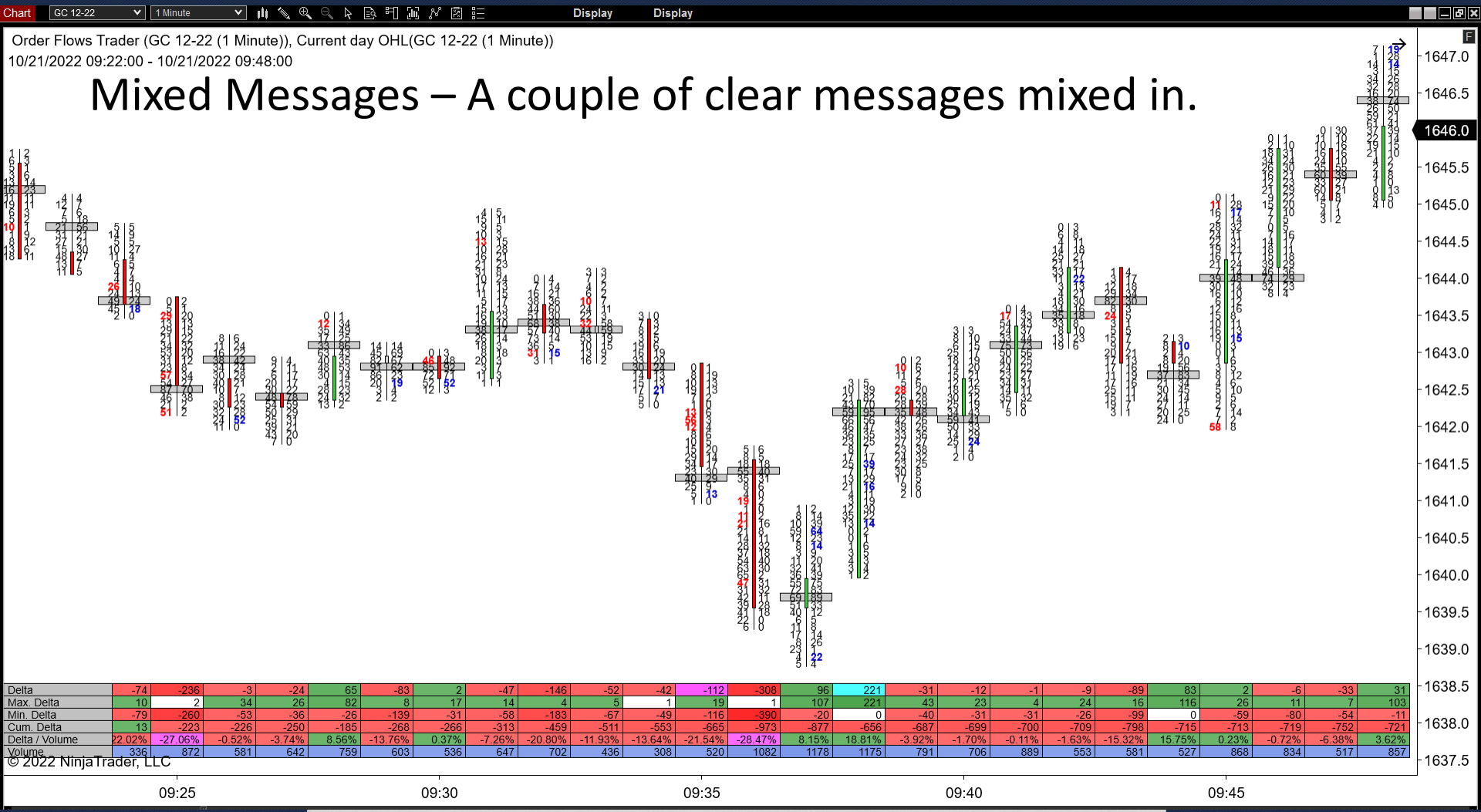


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The market is often misunderstood. Many people believe that the market is always moving in one direction or another, but this is not the case. The market is constantly sending mixed messages about where it wants to trade. One moment it may be up, and the next moment it may be down. This can be confusing for new traders, but it is important to remember that the market is constantly changing and that there is no one correct answer. Sometimes the best thing to do is to sit back and wait for the market to make its move before getting involved.

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What are some of the signs of mixed signals?

Alternating bars - Up, down, up, up, down, up, down, down.

Delta – small delta, big delta, small delta, big delta.

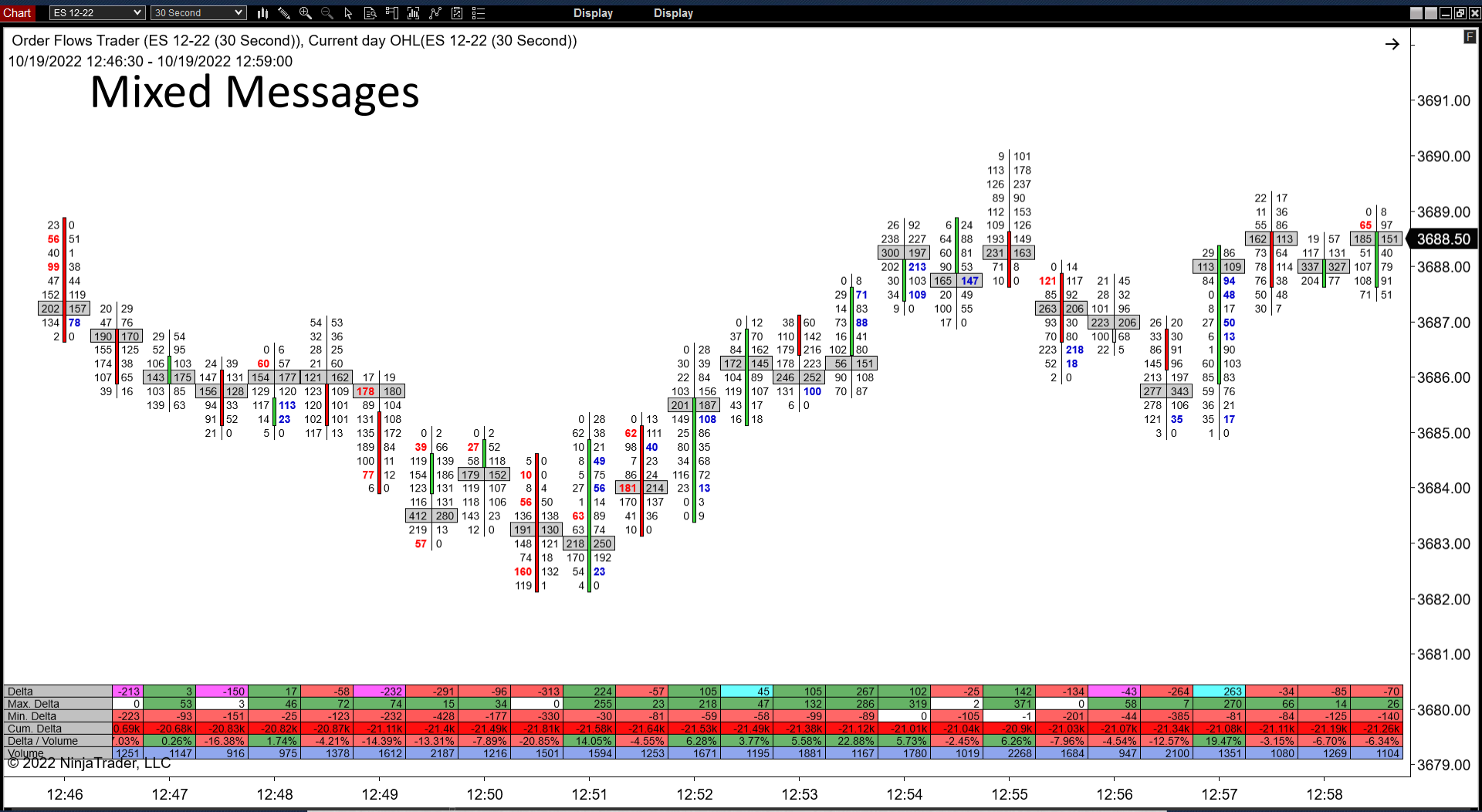
POCs – lower, higher, lower, higher, lower, lower, etc.

No imbalances signals no strong directional trade.

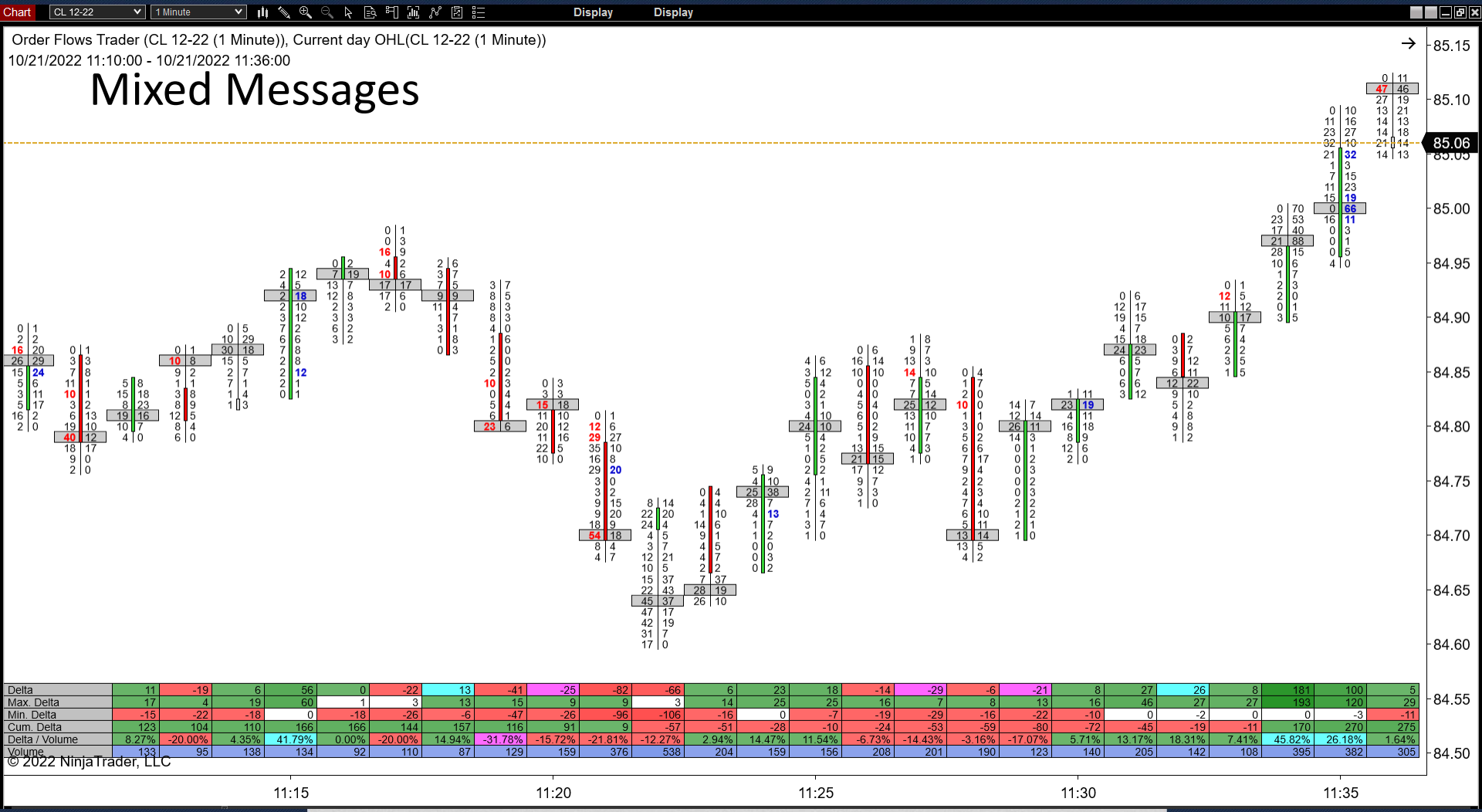
A single imbalance most of the time has no influence.

One bar a bunch of buying imbalances followed immediately by a bar with a bunch of selling imbalances.

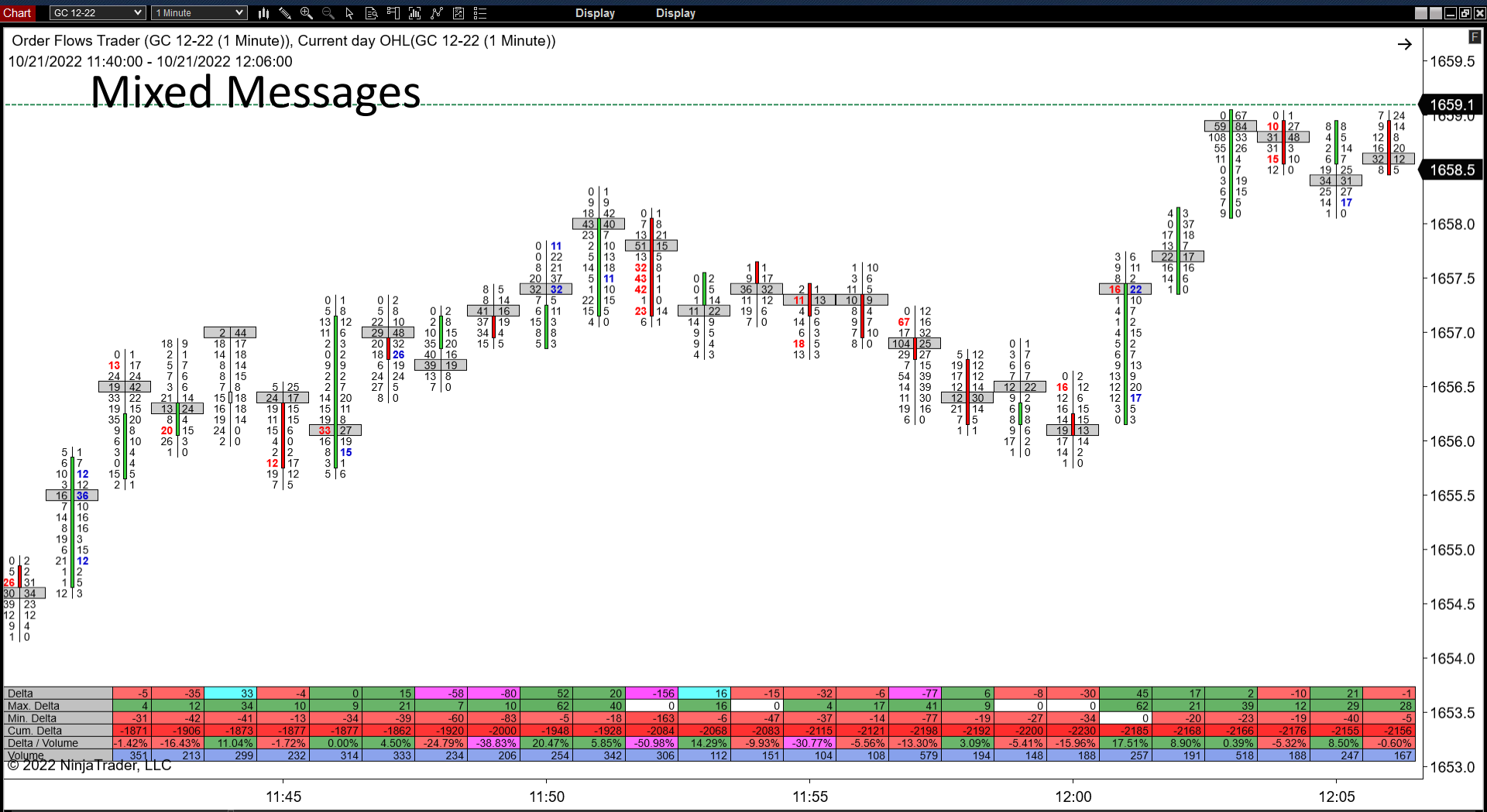
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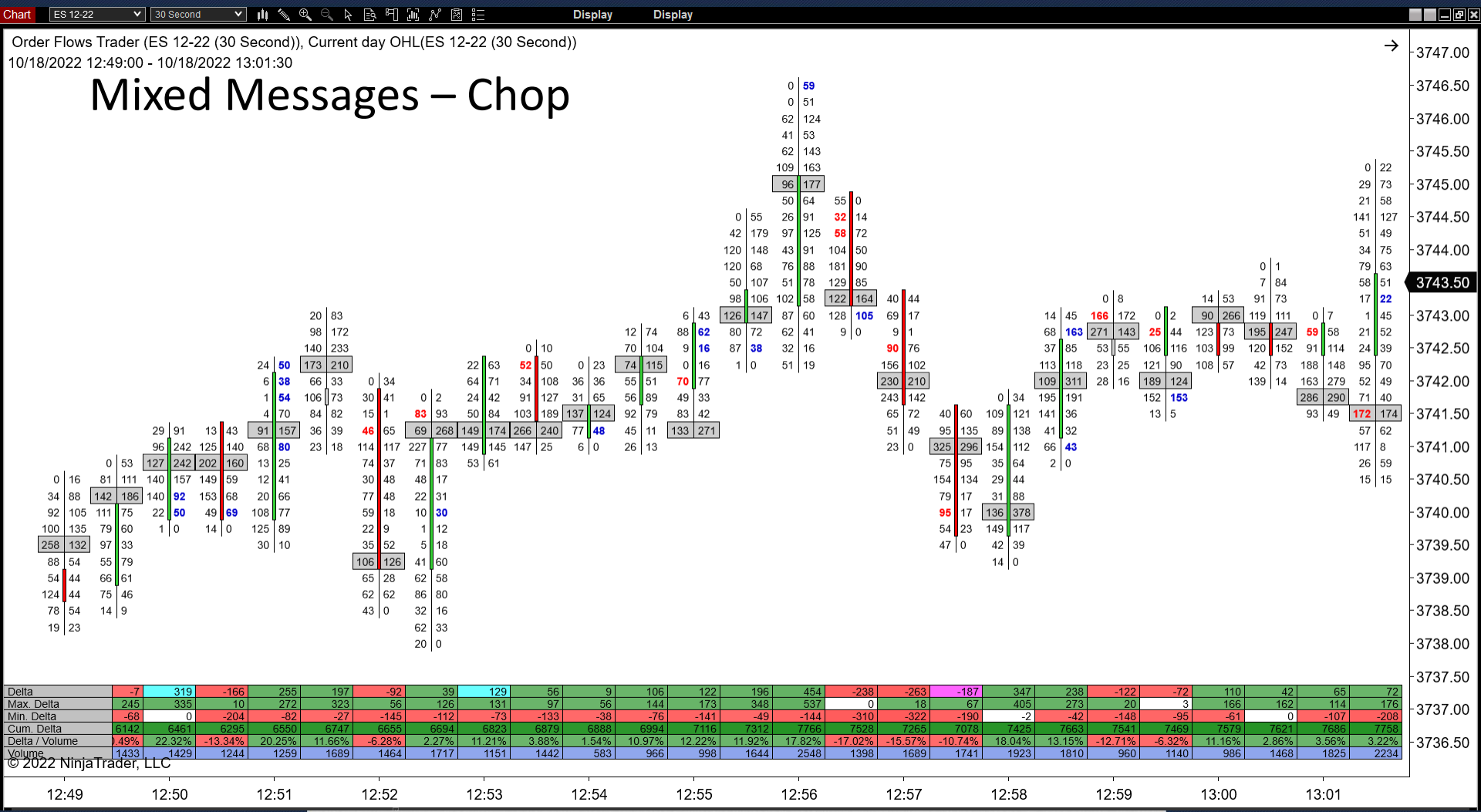


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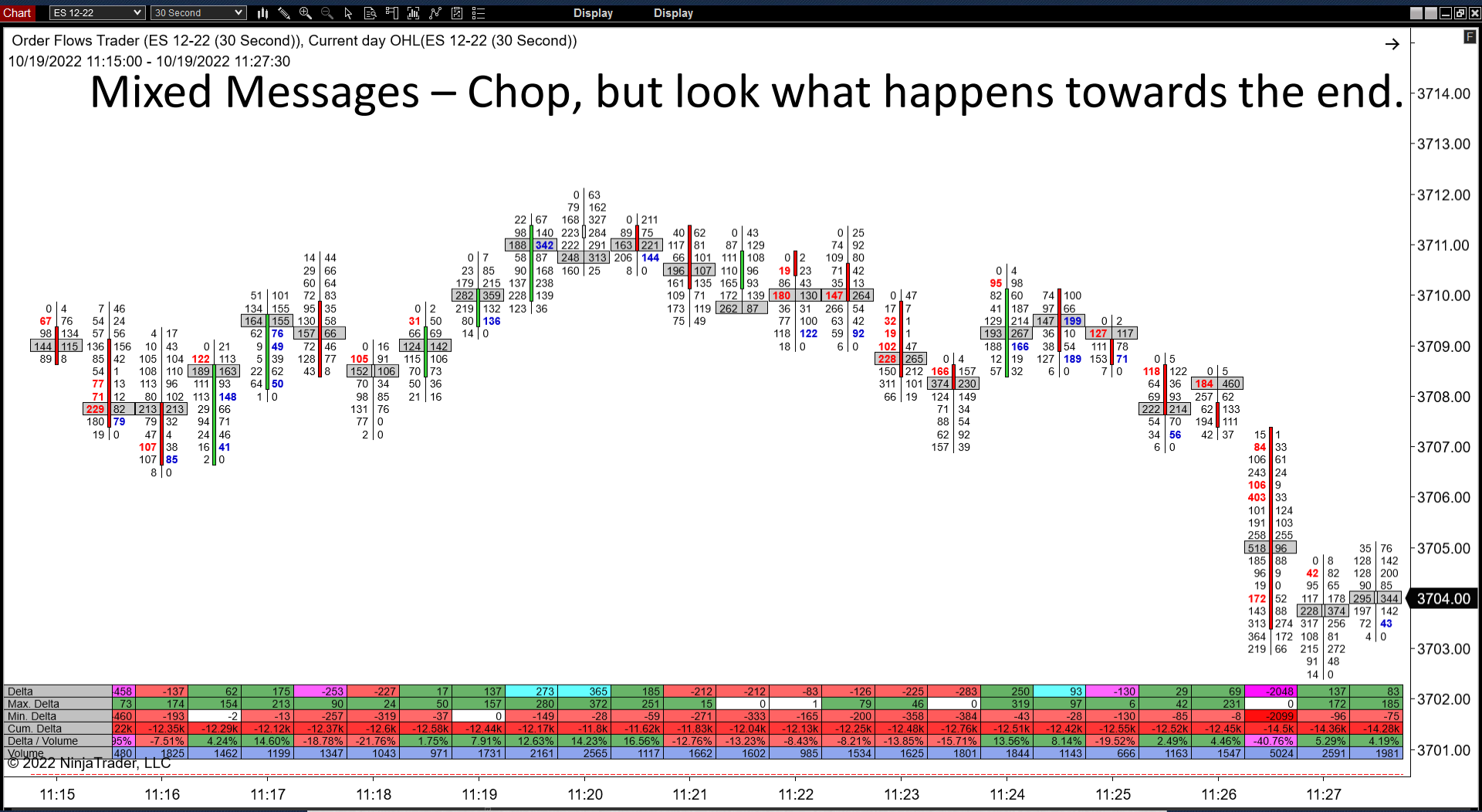
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Not all order flow is created equal. A common type of order flow is called "chop." Chop occurs when there is a lot of back-and-forth buying and selling, with no clear direction. This can often be seen at market turning points, when traders are undecided about which way prices will go next. In these cases, order flow can provide little useful information about future price movements.

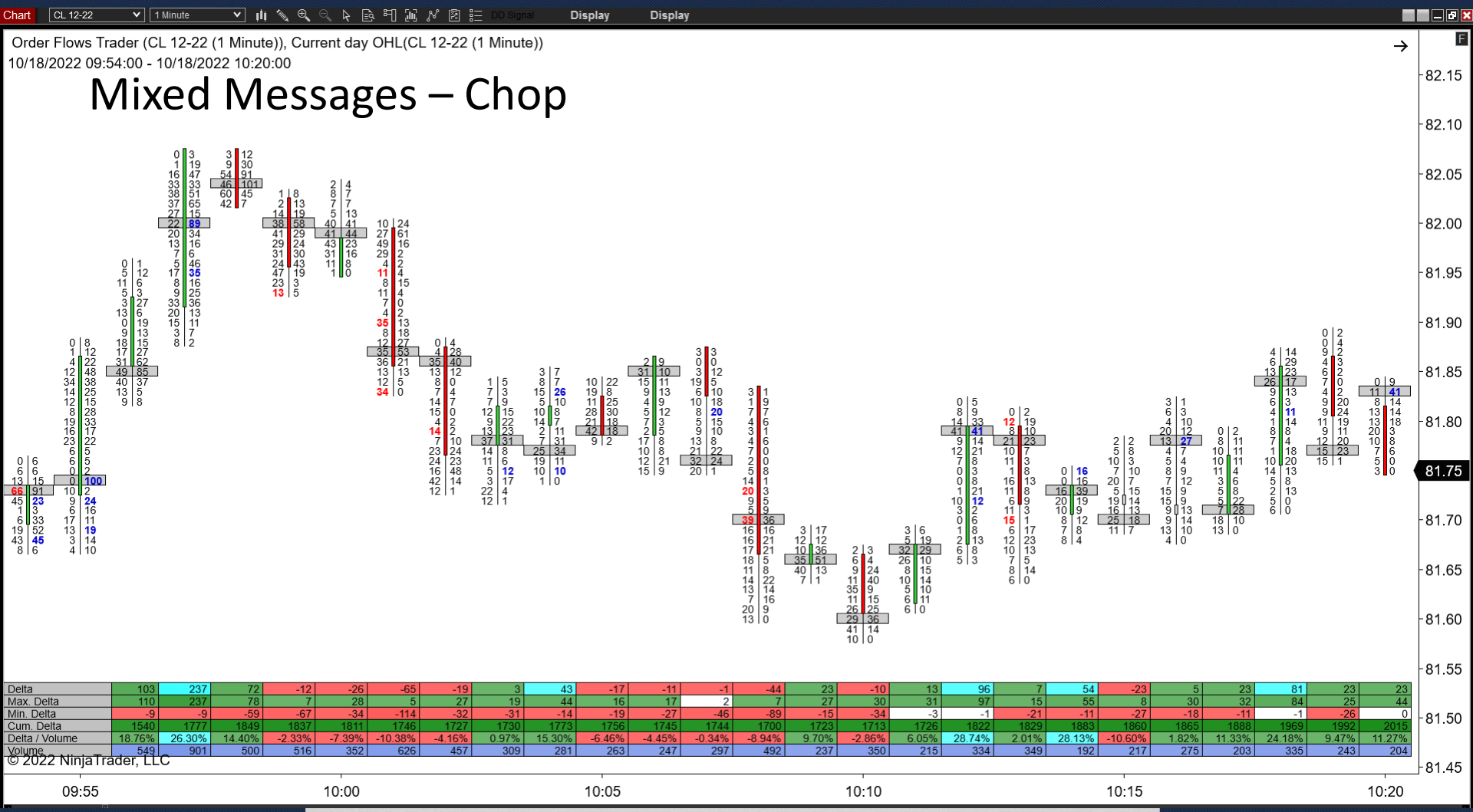
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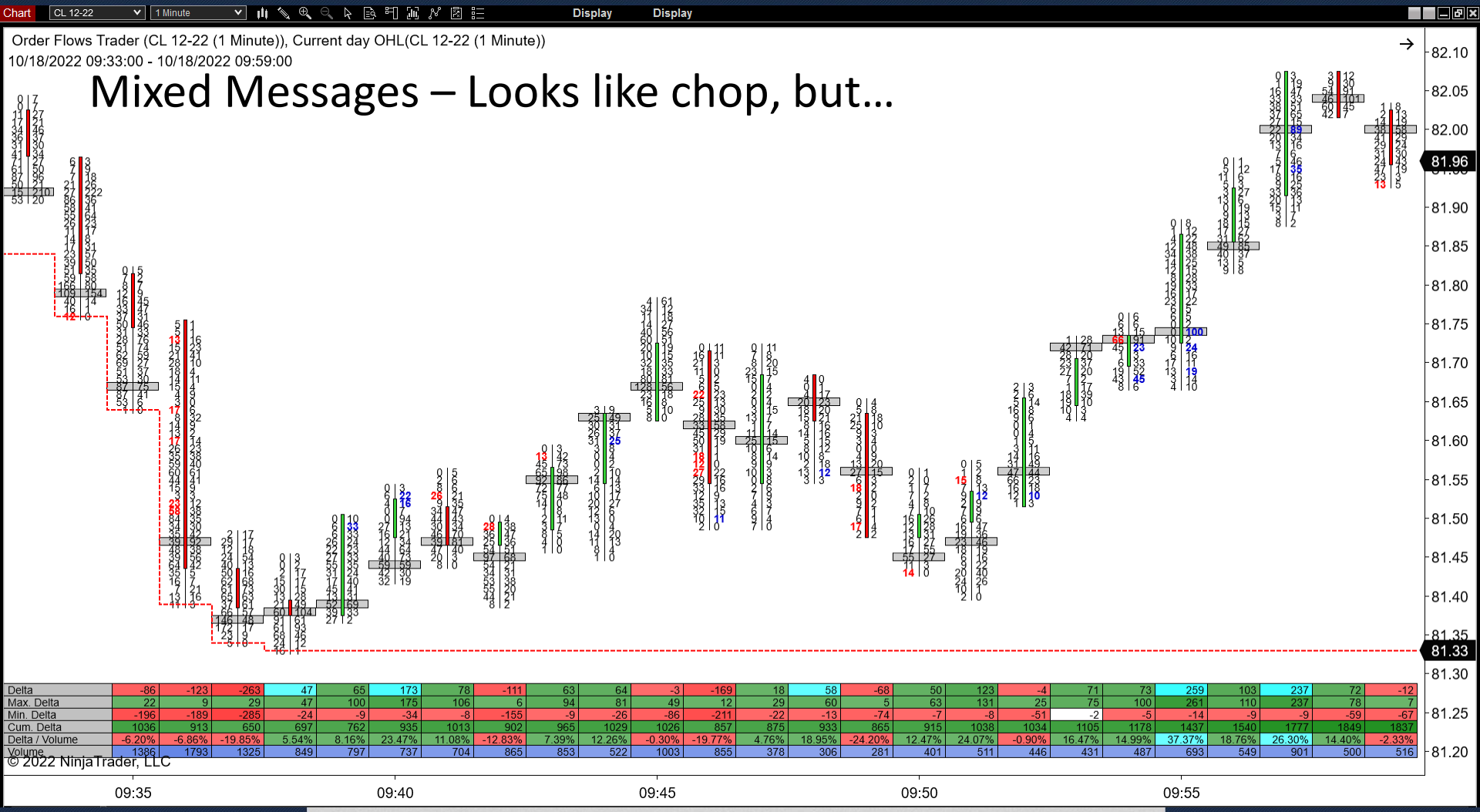
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The bottom line is that when the market is sending mixed messages, it's important to pay attention to the order flow, volume and price action. These tools will help you make more informed trading decisions and hopefully lead to successful trades.

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THIS CONCLUDES MODULE 4

In the next module, I will discuss how to detect market manipulation in the footprint.